How do state-level labor policies vary in their treatment and support of informal and gig workers in India?

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Abstract

India's labor market is seeing a seismic shift as informal and gig work become more dominant modes of employment. With almost 85% of the country's workforce beyond formal agreements, the sudden expansion in platform work has created new opportunities and new exposures. This paper surveys the difference state-wise in the way labor policies treat informal and gig workers by way of case studies on Rajasthan, Karnataka, Maharashtra, Kerala, and Tamil Nadu. It spotlights the innovative and uneven state-wise approaches—ranging from Rajasthan's trailblazing welfare statute and Karnataka's tax-based model to Maharashtra's mapping exercises and Tamil Nadu's unionled support to workers.

By way of comparative analysis, the paper demonstrates how variegations in political priorities, fiscal capacities, and labor market compositions induce policy divergence. The research finds that whereas other states are actively constructing institutional safeguards, still other states fall behind, presenting dangers of splintered worker security. By the inclusion of recent data, pictorial evidence, and policy reports, the research highlights the imperative of cooperative federalism: national minimum assurances for social protection, benefit portability, and platform responsibility, alongside state-level innovation.

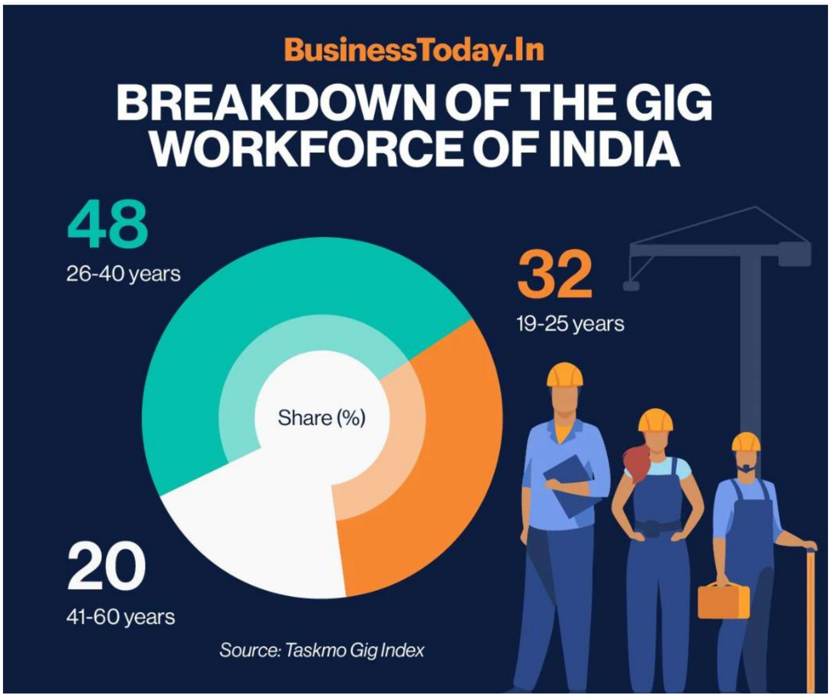
Lastly, the paper argues that the Indian gig economy comes to a fork in the road. With the right mixture of central leadership and local innovation, the gig economy can be transformed from a hub of precarity to the foundation of decent and inclusive work.

1. Introduction

In India, the economy's strength are the informal and gig economy workers, who are not even represented in the policymaking world. As many as 80–90% of Indian labor spends part or all of their time in the informal economy (Raveendran et al, 2020). Even the major cities saw the informal rates at 80% or higher (Raveendran et al, 2020).

This huge segment comprises daily wage workers, self-employed peddlers and contract labor—workers who energize everything from street hawking and construction to home child care and tiny-scale industry. They add much to the economy—informal economy contributing almost 50% of the GDP—yet they remain outside the coverage of employment legislation and union and social protection nets.

Gig work in India is also highly youth-driven, with the majority of workers concentrated in the 19–40 age range. The following figure illustrates the age composition of India's gig workforce.



Source: Taskmo Gig Index, reported by Business Today (2025).

Added to this tapestry is the growing platform and gig economy—yet another frontier of employment by virtue of digital platforms and phone apps. According to statistics put out by NITI Aayog, India in 2020–21 employed approximately 7.7 million people in the gig economy. This will rise to almost 23.5 million by the end of 2029–30 and will account for approximately 4.1% of the total workforce or 6.7% of the non-agricultural workforce (Niti Aayog, 2022).

These gig jobs range across various industries such as ride-hailing, delivery, design, and online freelancing digital services and provide flexibility and new prospects—all the more to youths, females, and the marginalized outside regular jobs. However, the jobs provide economic insecurity, absence of contractual protection, unreliable incomes, and absence of health and pension coverage. Algorithmic control and non-transparent rating systems further widen the exposure of the gig worker.

In spite of such pervasiveness and significance of precarity, policy interventions have mostly emanated from the central level, in the form of measures such as the Code on Social Security (2020) and the e-Shram portal, meant to enlist unorganized and gig workers. Although such initiatives reflect acknowledgement, execution lies at the state level, and differential priorities in politics, budgetary strength, and institutional ability translate to very different realisations. For example, while Rajasthan and Karnataka had launched gig-specialised welfare boards, other states just replicate informal worker welfare schemes or fall seriously behind.

Because labour is a topic that runs concurrently in the federal constitution in India, it creates a patchwork: a worker who performs jobs by the hour in one state has protection and benefits and another performing the same job in another state doesn't. It's not merely a fascinating topic for scholars to ponder—thinking about the disparity is critical to how inclusive and equitable the future of work in India will be.

The paper compares state-level labour policies in the treatment of informal and gig workers at the state level in India. It outlines the national policy context and reviews the state policy context before conducting in-depth analysis through four representative state case studies—Rajasthan, Karnataka, Maharashtra, and Kerala/Tamil Nadu. It uses comparative analysis to elucidate promising practices and key gaps. The paper ends by drawing a set of prospective recommendations aimed at meeting the needs of the decentralized and digitalised work economy by getting Indian labour policy right.

2. National Context & Overview

Indian labour markets present the paradox that while the labour force for the country is dynamic, diverse, and at the centre of development economics, it's also fragmented and poorly protected. Informal labourers—who constitute roughly 80–85% of the total labour force—lie outside the ambit of conventional labour law, and freelancers, a recent and growing segment, share the same status (Ravindran et al., 2020). The comprehension of the nation's protection-of-labour architecture acutely assists situating the intervention-of-states better.

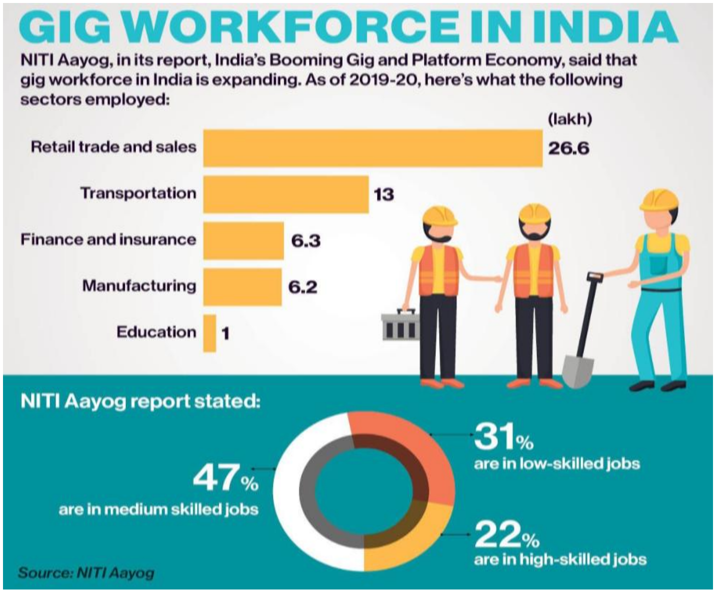
Informal Labour in India

Informality has remained a tenacious feature of the Indian economy. Despite economic liberalization, the structural transformation to formal, secure employment has proceeded very slowly. Informal labourers are the preponderance in industries like agriculture, construction, retailing, and personal services. Informal labourers do not usually enjoy the protection of contracts, or retirement and health insurance and are exposed to the risk of shocks such as sickness, job separation, or abrupt recessions. The COVID-19 pandemic highlighted such exposure when millions of migrant informal labourers were rendered stranded and wageless and bereft of welfare support during the nationwide lock-down. This exposed the question of informality once again to policy discussion at the national level.

Rise of the Gig and Platform Economy

In parallel to informality, the past decade has witnessed the rapid growth of the gig and platform economy. Online platforms such as Ola, Uber, Zomato, Swiggy, and Urban Company have increased the scale of non-standard work. Gig work today covers delivery services, ride-hailing services, freelance design work, data entry jobs, and housework coordination. NITI Aayog estimates that there were approximately 7.7 million gig economy workers in 2020–21 and the number will swell to 23.5 million by 2029–30 and accounted for 4.1% of the entire workforce (NITI Aayog, 2022). Although the platforms provide jobs and flexibility, they institutionalize precarity: the worker is regarded as a "partner" and not as an employee and hence not within the protection of standard labour protection such as minimum wage entitlement or social security entitlements.

In order to better visualize the sectoral composition and skill distribution of India's gig workforce, the following figure from NITI Aayog's 2022 report illustrates where gig workers are concentrated and the relative skill segmentation of their jobs.



Source: NITI Aayog, "India's Booming Gig and Platform Economy: Perspectives and Recommendations on the Future of Work" (2022)

Central Programmes for Informal and Gig Workers

The Centre has introduced other measures too to extend the recognition and protection to such employees:

Code on Social Security (2020).

The Code codified nine labour laws in a single code and first formally recognised gig and platform workers. It introduced provisions for social security schemes in health, maternity, disability, and pension. Gig workers were not categorised as the term "employees," and such benefits remained subject to the writ of the government's notification and the platforms' voluntary contributions. The absence of obligatory provisions means the Code may end up remaining symbolic in nature.

e-Shram Portal (2021).

Launched by the Ministry of Labour and Employment, the e-Shram portal aims at creating a national database of unorganized workers, including gig workers. Registration provides the worker with a unique ID and links the worker to accident insurance. Over 280 million workers had registered by March 2023. Yet integration of the portal with the welfare delivery systems remains weak and the majority of the workers mention little real-worldreturn as the outcome of registration by itself.

Relief Measures for COVID-19.

In the Atmanirbhar Bharat package, the Centre provided informal and migrant labourers free food rations, direct transfers, and credit schemes. Yet coverage remained patchy since millions were excluded as worker databases did not exist and statistics were not reliable.

NITI Aayog Roadmap (2022).

NITI Aayog's paper on the gig economy offers one of the most elaborate policy roadmaps. It suggests the inclusion of gig workers in priority sector lending, the issuance of skill passports, and the connection to social protection initiatives. It highlights the platforms as stakeholders who are most responsible for worker welfare and at the same time calls for the states to establish welfare boards responsive to the state's labor profile (NITI Aayog, 2022).

The Limitations of Central Policy

Despite these interventions, national-level policies face inherent limitations. First, India’s federal structure means labor is a concurrent subject, with both the Union and state governments empowered to legislate. This division leads to overlapping responsibilities, inconsistent enforcement, and significant variation across states. Second, funding constraints limit the extent of central schemes, particularly when they depend on state co-financing. Third, gig work itself is heterogeneous: delivery riders, freelance designers, and app-based domestic workers face different risks, making one-size-fits-all central frameworks inadequate.

Why States Matter

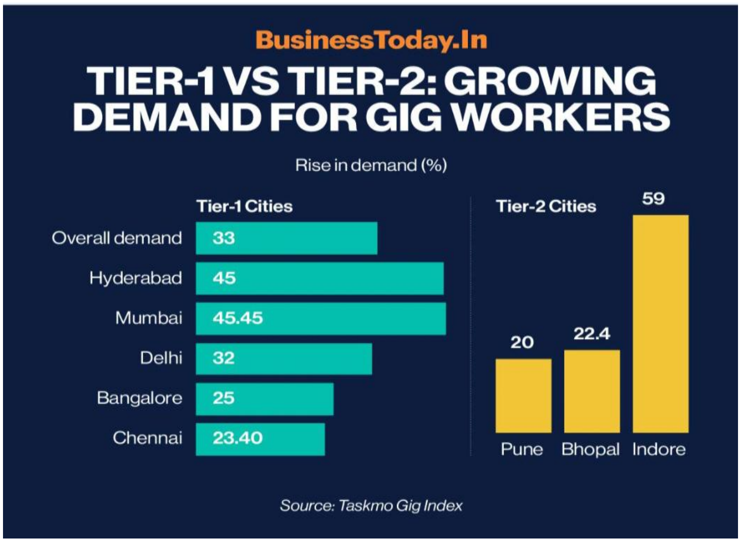
With such limitations, state governments become key agents in the construction of the on-ground experience of informal and gig workers. States operate welfare boards, enforce labor legislation, and negotiate both local trade unions and platform businesses. Fiscal strength, political agendas, and labor stories significantly affect the scale and nature of protection afforded to workers. Rajasthan's choice to enact a gig workers' welfare bill in 2023, Karnataka's draft bill in 2025, and Maharashtra's worker mapping project all demonstrate how different state governments understand central models differently and devise unique solutions.

That is, while the national system provides for recognition and overall orientation, the challenge of inclusiveness comes at the state level. It is only by situating state-level activism in larger overall context of the policy agenda at the national level that the subsequent sections endeavor.

3. State-Level Policy Landscape (≈800 words)

While the Union government provides recognition and broad frameworks, the real architecture of protections for informal and gig workers lies with states. Because labor is a concurrent subject, states interpret central laws, manage welfare delivery, and regulate platforms—producing a diverse, uneven policy map across India.

The geography of gig work is also uneven. Demand patterns differ significantly between Tier-1 and Tier-2 cities, with smaller urban centers showing even faster growth rates. The following figure from the Taskmo Gig Index highlights these contrasts.



Source: Taskmo Gig Index, reported by Business Today (2025).

Large-scale patterns of response

Legislative innovation, Rajasthan became the world's first state to enact a specialized platform worker law: the Rajasthan Platform-Based Gig Workers (Registration and Welfare) Act, 2023. It obliges registration of platforms and workers, establishes a welfare board, and obliges platforms to pay into a social security fund. The Act provides worker representation in decision-making, a unusual recognition of worker voice (PRS India, 2023).

Codification through statute, Karnataka responded with the Karnataka Platform-Based Gig Workers (Social Security and Welfare) Act, 2025. The legislation creates a welfare fund by imposing a levy on platform transactions, requires platforms to offer health and safety provisions, and establishes norms for algorithmic transparency. Bengaluru's status as the gig hub of India and continued worker agitation stood at the heart of the legislation (The Hindu, 2025).

Policy in transition. Maharashtra has launched a survey to map the gig workers and intends to seal a policy roadmap by the end of 2025. The mooted roadmap would provide legal coverage, insurance, and pension to the gig workers and extend skilling to them as well and end the case-by-case relief and adopt a systemic approach (Times of India, 2025).

Extension through welfare boards. Kerala and Tamil Nadu are adapting the classical welfare board model (previously reserved for construction, head-loading, and home-working informal work) to extend it to platform workers. This approach bases the expansion on the systems of contribution already in existence and the strong union networks (ILO, 2024).

Why states differ

State approaches vary by dint of various factors:

Fiscal capacity: Though larger revenue bases allow states such as Karnataka and Maharashtra to finance welfare boards and grievance systems, most fiscally weak states do not.

Political agendas: Rajasthan's legislation exhibits a social welfare agenda, whereas Karnataka's legislation yielded to the influence by worker organizations and the IT industry.

Union density: Strong labour movement roots in Kerala and Tamil Nadu state responsiveness.

Economic makeup: Industrialized, service-based economies with concentrated gig economies (e.g., Karnataka, Maharashtra) are more at risk than agrarian economies less exposed to the world through the gig economy.

Some state governments are testing new instruments:

Online registries: Maharashtra's mapping exercise and Rajasthan's registry are meant to enhance the visibility of workers and help in targeting welfare measures.

Aggregator responsibility: Both Rajasthan and Karnataka have shifted part of the welfare burden onto platforms via mandated contributions.

Worker voice: Rajasthan institutionalised worker representation on the welfare board, and Tamil Nadu began to recognize delivery worker unions.

Risk of protection asymmetry

This diversity fosters innovation but risks geographies of inequality. A gig worker in Jaipur may have access to welfare funds and grievance redressal, while a counterpart in Bihar or Odisha remains reliant on thin central schemes. Platforms may also exploit this by relocating activity to states with weaker protections, a form of regulatory arbitrage. Moreover, fragmented registries risk portability issues for migrant workers unless harmonized with the central e-Shram system.

Conclusion

Taken together, the state responses range: Rajasthan's path-breaking legislation, Karnataka's taxation model, Maharashtra's work-in-progress policy, and Kerala and Tamil Nadu's embracement of welfare boards. They illustrate how state fiscal authority, political will, and central union mobilization catalyze outcomes. But the skewness also underscores the imperative for cooperative federalism—minimum federal standards and state-level experimentation.

4. Rajasthan

The Rajasthan state became the first state in India to legislate specifically for platform and gig economy employees by promulgating the Rajasthan Platform-Based Gig Workers (Registration and Welfare) Act, 2023. The Act's stated mission is to bring the gig economy employees—ride-hailing drivers, delivery boys and girls, freelancing service providers and other such platform-dependent employees—within a visible, regulated sphere that enables social protection and conflict resolution. The key provisions are the registration requirement for the gig workers and the aggregators, the appointment of a statutory Gig and Platform Workers Welfare Board and the delineation of a welfare fund through platform levies and state grants. The statute also provides for worker representation at the board and attempts to institutionalize worker voice in decision-making and program design (PRS India 2023).

The law constitutes a doctrinal change in three significant manners. It first makes visibility a policy priority: by virtue of the obligation to register and the assignment of unique IDs, the hitherto invisible workforce should be brought into the formal records to allow for the selective delivery of benefits. It then reallocates the cost of basic protection—from the single state-funding model to the blended model whereby the platforms should pay a contribution to the welfare fund. It also establishes institutional channels—a welfare board comprising direct worker representation—for the resolution of conflicts, the structuring of benefits, and the monitoring of implementation. Theoretically, all three meet the fundamental inadequacies of mainstream approaches: absence of data, absence of sustainable financing, and absence of worker voice.

But converting legislative promise to real protection raises several implementation challenges. Achieving systematic registration among a geographically dispersed workforce requires significant administrative muscle and digital infrastructure; unless supplemented by effective outreach and streamlined enrollment processes, many workers will be outside the new regime. The collection and implementation of platform levies represents another key bottleneck: platforms vary by size and model of business and may seek to avoid paying charges or litigate the merits of the levy. Further, courts globally became arenas of challenge to platform liability and employment classification; similar legal complexities in India will slow or dilute financing flows.

Political dynamics further complicate implementation. The Act had been legislated by a specific state administration; the shift in political leadership since then can cause stagnation in rules, notifications, or budget provisions needed to implement the board and finance. Indeed, worker activism and civil society advocacy have remained key to preserving implementation on the agenda—strikes and high-profile protests in the cities of Jaipur and other metropolitan areas pushed the authorities to shift from statute to rules and implementation. Such political economy considerations signify that legal draft alone cannot ensure outcomes: administrative will and fiscal intent and sustained worker activism are all prerequisites.

There are also design tensions to be navigated. Platform contributions mandated create questions about who ends up paying—platforms, users, or workers—should platforms merely pass through levies by commission charges. Equally, forced registration and data capture must be supplemented by stringent data protection norms lest personal information be abused. Portability for entitlements is another unresolved question: the movement of the Indian workforce is very fluid, and migrants crossing state borders will require portability arrangements lest entitlements be tied irrevocably to a single-state registry.

Regardless of such difficulties, the Rajasthan experiment is both politically and analytically interesting. It breaks new ground in thinking of gig work as a policy domain that needs statutory architecture and not piecemeal welfare. The Act also provides a transposable model—registration, co-financing and worker representation—other state governments can replicate and localize through local adaptations. Globally, the legislation places India in an expanding number of jurisdictions considering statutory answers to platform precarity, and provides a complement to the various types of regulatory initiatives undertaken in the European sub-region and some sub-national initiatives elsewhere (ILO 2024). International Labour Organization

A***s a whole, Rajasthan's code is ambitious to begin with:*** it corrects the invisibility of the gig economy, experiments in shared-responsibility financing methods, and integrates worker voice. Its long-term viability will be subject to practical rule-writing, enforceable collection mechanisms, interoperable data systems, and ongoing political and administrative will. The state's experience then offers other Indian states to follow both model and cautionary tale in considering statutory responses to the platform economy.

5. Karnataka

Karnataka, home to Bengaluru—the epicenter of India’s digital and platform economy—has been at the forefront of policy debates on gig work. With tens of thousands of delivery workers, ride-hailing drivers, and app-based service providers concentrated in the state, worker protests and media attention have pushed policymakers to respond more proactively than in many other regions.

The 2025 Act: Key Provisions

The Karnataka state established the Karnataka Platform-Based Gig Workers (Social Security and Welfare) Act in 2025 and became the second Indian state to institute legislation solely for platform employees. The Act makes provisions for the registration of all the platforms and the gig workers and creates a digital registry that links to state labor systems. The Act creates a welfare board responsible for the development of schemes in the fields of insurance, health care, pension, and skilling.

The Act also allows for a Welfare Fund financed by a levy on platform transactions—usually 1–2% of the value of the transaction—combined with state government contributions. This represents a structural innovation in finance: whereas Rajasthan's pattern promotes generic platform contributions, Karnataka's pattern links the contribution to the volume of platform business in the state and ensures thereby proportionality and potentially higher sustainability (The Hindu 2025).

Yet another interesting feature is the inclusion of norms for algorithmic transparency. The platforms must be transparent about how rating systems, incentives, and deactivations work. The workers are also furnished a grievance redressal mechanism to appeal against arbitrary or auto decisions. This clause specifically addresses one of the most common complaints in the gig economy—mysterious "algorithmic discipline" that regulates wages and work opportunities.

Political Economy and Stakeholder Reaction

Passage of the Act was framed by the political economy of Karnataka. Bengaluru, famously known as the "Silicon Valley of India," not only has global IT companies located there but also headquarters of key platforms such as Swiggy and Ola. This centralization of platform activity rendered gig work politically important. Labor organizations such as the Indian Federation of App-Based Transport Workers (IFAT) organized various protests seeking minimum wage assurances, accident insurance, and control of platform commission rates. Their continuous mobilization created the sense of urgency for legislation (Business Standard 2025).

Platforms, meanwhile, expressed concerns over compliance costs, warning that transaction levies could reduce margins and potentially be passed on to consumers. Some companies lobbied for exemptions or delayed implementation, highlighting the tension between protecting workers and maintaining a “business-friendly” environment. The government attempted to strike a balance by setting the levy rate relatively low while signaling strict enforcement for non-compliance.

Despite the law’s progressive intent, several challenges persist. The accuracy of the digital registry is crucial: without comprehensive worker registration, benefit delivery will remain patchy. Migrant workers, who form a large share of gig employment in Bengaluru, often lack local documentation, making inclusion difficult.

There are also enforcement challenges in the levy. Small or new platforms may try to evade payment, and ongoing compliance involves the need for a large monitoring capacity.

Regulatory arbitrage too is a threat—platforms shifting or channeling transactions to the less guarded states and defeating Karnataka's objective.

The provisions on algorithmic transparency, while innovative, face technological and legal hurdles. Platforms argue that full disclosure could compromise proprietary systems. Balancing worker rights with trade secret protection will be a delicate task, requiring clear guidelines and possibly judicial interpretation.

Wider Applications

Karnataka legislation is notable for converting international best practices—namely on algorithmic rulemaking—into the Indian experience. It reveals growing recognition that platform work cannot be regulated by the traditional categories of labour law only and new institutional forms are called for. It also offers a different model of financing welfare not tied to Rajasthan's model by relating financing to the amount of transactions.

The law's success, however, will depend on how effectively it is implemented. If enforced robustly, Karnataka could set a precedent for balancing innovation with fairness in India's digital labor market. If not, it risks becoming another statute that acknowledges gig work without delivering tangible improvements in worker security.

6. Maharashtra

Maharashtra, which surrounds Mumbai and Pune, contains one of the largest aggregates of gig and platform workers in India. Because the state hosts major finance and service hubs, it lends itself to hubs for delivery services, ride-hailing platforms, and freelancing. However, whereas Rajasthan and Karnataka have not done so yet, Maharashtra has not passed a specialized statute. It is instead in the process of creating a broad-based policy directive that would extend legal and social security coverage to the platform workforce.

Mapping the Workforce

In early 2025, the Maharashtra state government instituted a state mapping project to count the platform and gig workers. The project will create a database ranging from delivery riders to drivers through home service providers and digital freelancers. By formally putting the workforce on the record in a systematic fashion, the state attempts to break the usual invisibility of data that has hitherto afflicted welfare delivery in the informal economy. Mapping needs to be related to state-level digital identification and potentially fed into the central e-Shram portal for state portability (Times of India 2025).

There are two objectives to the mapping exercise. The first will be to provide the state with a better comprehension of the extent and sectoral composition of gig work. The second will be to provide the foundation for a policy intervention such as health insurance, pension coverage, and skilling initiatives. The policy has committed to be prepared by the end of 2025 and this will be among the first institutionalization of a legal and welfare architecture among the other states after Rajasthan and Karnataka.

Proposed Welfare Measures

Preliminary reports indicate that the forthcoming policy to be presented will encompass three key areas:

- Social security. Insurance protection for health and accidents, likely by incorporating it in already established state insurance coverage. Older worker pension schemes are also envisaged.
- Legal protection. The identification of the gig workers in the state labour system, so that the minimum requirements of the work environment and conflict resolution measures become available.

- Skill development. Programmed training schemes to enhance the skills of the worker, enabling mobility among industries and higher earning potential.

The state is also considering a welfare board model, similar to Rajasthan's, though whether contributions will be mandated from platforms remains undecided.

Political Economy and Difficulties

The drive to protect the gig worker in Maharashtra comes at both economic and political influences. Economically, Mumbai and Pune have had rapid expansion in app-ordered services and recurrent worker agitations about pay, commission rates, and the number of work hours. Politically, the ruling coalition has positioned the mapping and future policy as part of an overall pro-worker policy move aimed at weighing worker rights and business expansion.

There are challenges nevertheless. Financial constraints may limit the scale of welfare if donations by the platforms are not statutory. It will be further challenging to integrate the new database and avoid duplication while integrating it with e-Shram. Finally, compliance and preventing the platforms from shifting the business to other state jurisdictions with lax norms remain a challenge (ILO 2024).

Broader Significance

Maharashtra's attempt is notable since it exhibits a gradualist approach: instead of first legislating, the state is incrementally defining the workers and crafting policy interventions. If scaled successfully, the model can provide a scalable template for other large Indian states that have diversified labor markets. Its effectiveness will depend on the state ultimately necessitating platform sharing and devising viable mechanisms for enforcing it.

7. Kerala & Tamil Nadu

Kerala

Kerala and Tamil Nadu stand out in the Indian polity context because they had welfare boards for informal labor pre-dating the rise of platform and gig economy. The two are leveraging the institutional experience and the strong presence of the trade unions to extend coverage to the employees in the apps while broad legislation aimed at the internet-specific platforms continues to be crafted.

Kerala: Building on Welfare Boards

Kerala has been the trendsetter in worker-based welfare boards for the construction industry, the head-load worker industry, and the household worker industry. The welfare boards offer social security through a contributory model among the workers, employers, and state government. As the platform economy expanded, Kerala initiated the inclusion of the gig workforce through the existing welfare frameworks. For instance, transport and delivery workers are registered under the state's informal worker schemes offering accident insurance and pension schemes.

Kerala's approach is incremental: the state does not introduce a radically different system but expands existing boards to cover platform workers. The policy capitalizes on influential trade unions that mobilize the gig economy workforce and bring them to the table through state-level policy-making (ILO 2024).

Tamil Nadu: Pilot Schemes and Union Recognition

Tamil Nadu, too, has rich union practices as a state and has introduced the pilot projects for platform workers such as delivery riders in Chennai. High-end health insurance covers and accident compensation tied to established welfare schemes are part of them. The state government has also indicated readiness to approve platform worker unions and hold tripartite consultations.

In 2023, the state government of Tamil Nadu extended coverage to certain categories of app-based workers under the Tamil Nadu Manual Workers Social Security and Welfare Board. This action demonstrates political resolve and the influence of organized factions of delivery riders and drivers who have organized protests and demanded better pay and algorithmic responsibility. Although still preliminary, the initiatives by Tamil Nadu constitute one among the very few Indian examples in which the state has publicly acknowledged the collective bargaining rights of the gig economy (The News Minute 2023).

Political and Structural Drivers

The relative proactivity of Kerala and Tamil Nadu reflects structural factors. Both states have high literacy, strong labor movements, and political traditions that prioritize social welfare. Unions like CITU and AITUC, active in both states, have organized gig workers into federations, giving them political visibility and bargaining strength.

Conversely, fiscal realities delineate scope. Fairly richer states like Maharashtra or Karnataka do not have as severe a revenue constraint as Kerala and Tamil Nadu and may therefore fund larger coverage unless platform contributions are made mandatory. As it exists today, the majority of the cost continues to be borne by the state exchequer and raises doubts about viability in the long run.

Broader Consequences

The Kerala and Tamil Nadu constitute a union-based welfare model together. They do not introduce new legal categories but widen prevailing welfare institutions and call for collective action. The model identifies the political mobilization functions in the constitution of the livelihood of the gig workers. Yet in the absence of overarching legislations requiring the platform contribution, protection may be piecemeal.

For the country as a whole, they show that worker protections for the gig economy can emerge organically from the long Indian custom of informal work arrangements and not made ex nihilo. Their experiments provide a counterpoint to Rajasthan and Karnataka's legislative-first solutions to the future of work and the transformation the world of work is experiencing.

8. Comparative Analysis

The four case studies—Rajasthan, Karnataka, Maharashtra, and Kerala/Tamil Nadu—show the range of state-level policies for the regulation and protection of gigworkers. The range reflects the federal nature of India whereby the states are both enabled and restricted by the strength of fiscal capacity, political agendas, and institutional customs. The comparison shows the major similarities, differences, and future bearing in the future of work in India.

Legislative vs. Incremental Approach

Rajasthan and Karnataka are legislative-first models. The two states enacted specialized laws that establish welfare boards, registration requirements, and platform contributions. The Rajasthan model feature a set contribution model alongside worker representation, whereas Karnataka links the contribution schedule to the volume of transactions and incorporates provisions for algorithmic clarity. The laws mark a definitive acknowledgment that the world of gig work necessitates new legal categories different than those applied to conventional informal workers.

Conversely, Maharashtra and Tamil Nadu have taken incremental routes. Maharashtra continues to develop its policy through mapping and pilot initiatives, while Tamil Nadu adds coverage by extending the provisions through the available welfare boards and unveiling earmarked initiatives, including health coverage for delivery personnel and, more recently, rest lounges in Chennai for gig workers. Kerala follows the same incremental pattern by extending the long-existing welfare boards to encompass platform workers. The contrast bears testimony to institutional heritage: those who already have boards in place extend them, and those who do not enact anew to cover the gaps.

Sponsoring Worker Welfare

Models of financing differ radically. Rajasthan and Karnataka clearly put part of the financial burden on platforms by means of obligatory donations or levies. This is in consonance with worldwide discussions on the responsibility of platforms and lessens the burden on the state finances. Maharashtra has not clearly stated if platforms will be asked to contribute and consequently faces the challenge of sustaining finances. Kerala and Tamil Nadu still depend mostly on state budgets and worker donations within the then-existing board model. The failure to impose platform financing in the said states potentially caps the scale of the gains and the issue of equity since platforms continue to take value added by gig labor without correlative responsibility.

Worker Voice and Representation

Worker participation presents another fundamental axis of divergence. Rajasthan institutionalizes worker representation through its welfare board, providing the gig worker with a formal voice at the table when decisions are made. Karnataka takes a similar approach but highlights grievance redressal through algorithmic management. Trade unions in Kerala and Tamil Nadu meet this function informally by agitating among the employees and compelling the state governments to transform the pre-existing welfare schemes. Maharashtra has not spelt out how worker representation would be ingrained in the proposed architecture.

Worker voice or absence thereof determines the perceived legitimacy in the policies. Rajasthan and the state of Tamil Nadu whose workers feature most may be more likely to be in compliance and trusting. Policies not arrived at through consultation may exclude the worker or fail to understand the nuance of the gig labor.

Institutional Capability and Implementation

The implementation capacity varies sharply. Rajasthan and Karnataka are challenged by the necessity to develop new digital registries and enforcement systems de novo. Maharashtra's mapping exercise shows awareness of the challenge while also illustrating the time-consuming nature of data compilation among a disintegrated workforce. Kerala and Tamil Nadu enjoy the advantage of mature welfare board infrastructures, while such boards are challenged by the paucity of resources and administrative overload when they seek to extend coverage to new worker categories.

Risks of Fragmentation

The most striking insight from such comparison is the risk of fragmentation. It may be possible for the worker in Jaipur to enjoy the luxury of a welfare fund and formal grievance procedure while the worker in Lucknow or Patna still relies on meager central schemes. Such inconsistency can potentially widen geographic disparities in the gig workbase. Moreover, platforms can engage in the arbitraging of regulations and shift the business to less heavily regulated states and thus render stronger regimes ineffective. This leaves the burden for national convergence to establish minimum norms while the states experiment through variants of their own (ILO 2024).

Lessons and Best Practices Emerging

Despite divergence, several lessons emerge:

For Rajasthan and Karnataka, mandatory platform contributions are indispensable for sustainability. Without collective financing, welfare measures will be inadequately funded.

Worker representation—whether through the boards or proper unions—assists in ensuring policies are attune to real-life experience and facilitates compliance.

Digital integration—mappings and registries, e.g., in Rajasthan and Maharashtra—is key to visibility and portability and must be synchronized with the e-Shram portal.

Incremental expansion—Kerala and Tamil Nadu show the way welfare boards already in existence can be incrementally expanded to include gig workers while such a model may require additional funds not to burden institutions.

Towards Cooperative Federalism

The comparison makes the case for cooperative federalism. The states are experimenting, but if not harmonised, the initiatives will culminate in fragmentation. A federal structure imposing minimum standards—such as the mandate for accident insurance, portable entitlements through the state lines, and floor contributions by platforms—would allow for fairness. The states can then innovate above the floor and craft schemes to suit local labour markets.

One such model would emulate India's overall response to welfare federalism, whereby national initiatives establish overall norms and delivery experimentation occurs at the state level. For the gig economy jobbase, such a balance holds particular significance considering mobility among the workerbase and the cross-border nature of the digital platforms (NITI Aayog 2022).

Conclusion

A comparison of Rajasthan, Karnataka, Maharashtra, and Kerala/Tamil Nadu finds a vibrant but uneven landscape. Legislative-first states proclaim ambitious recognition, incremental states revise stale formulas, and the rest lag behind. As a whole, they reveal the promise and risk of decentralized policymaking. The challenge ahead is to integrate such diverse initiatives in a single national architecture that allows for state innovation while not putting a single worker, by geography, at risk.

9. Difficulties in Policy Implementation

Whilst the states forge new and creative ways to safeguard informal and gig labor, they are confronted by a litany of systemic and legal barriers that complicate implementation. Within each model of policy—whether incremental or legislative-first—each obstacle persists and warrants immediate consideration. This section examines the most salient barriers to gig worker protection and feasible ways ahead.

1. Legal Ambiguity and Misclassification

The root cause of the invisibility among gig workers is legal misclassification: the platforms describe the workers as "partners" or contractors and not employees and thereby deny them statutory protection such as minimum wages, social security and channels for resolving conflicts (JusCorpus, 2025). This concealed relationship of employment defeats the purpose of state- level legislation and inhibits the functioning of the mechanisms for enforcement (JusCorpus 2025).

2. Regulatory Fragmentation

India’s dual governance structure—where labor falls under both Union and state jurisdiction—creates a regulatory maze. Each state may enact its own rules for gig worker protection, leading platforms to navigate a patchwork of compliance regimes. Such fragmentation raises administrative costs and invites regulatory arbitrage, where platforms preferentially operate in states with weaker mandates (Economics Times, 2025).

3. Data Gaps and Transferability

Successful modeling of worker welfare relies on good data. However, most states are not able to comprehensively capture gig workers, especially migrants who are poorly documented. Even if data does exist, it's frequently isolated in state registries and hinders portability of benefits. A worker who's registered in Rajasthan won't be recognized when she or he shifts to Bengaluru—this defeats the concept of universal protection and reduces scheme effectiveness.

4. Administrative Capability and Enforcement

New legislation entails the necessity for effective administrative machinery ranging from digital registries to grievance redressal. Most states do not possess adequate human resources to enforce compliance checks, process claims, or enforce contribution requirements. Without specialized monitoring, welfare boards can be starved or inactive even with legal provisions on paper.

5. Platform Resistance and Cost Pass-Through

Platforms are loath to be forced to pay. They do not want new levies to reduce the margin and increase end-consumer prices—something even Karnataka has mooted a 1–5% welfare cess potentially increasing delivery charges (Economics Times, 2025). Forced payments also risk challenge in court by platforms not wishing to bear statutory burden.

6. Labor Exclusion Beyond Intersectional Axes

Gig work isn't homogeneous—female and LGBTQ + workers and religious and disability minorities generally encounter greater algorithmic discrimination and lower earnings. The majority of policies don't offer specialized provisions, including anti-algorithmic discrimination stipulations or inclusive pathways for grievances, and don't account for such multi-dimensioned inequality. As a fact, many female riders encounter less job offers and unstable work situations that aren't provided for.

7. Insufficient Coverage by Social Security

While statutes promise welfare, coverage often falls short. State schemes commonly offer accident insurance but omit critical elements like pensions, paid leave, or unemployment benefits. Without standardized minimum protection levels across states, a gig worker may qualify for health insurance in one state but receive nothing in another.

8. Institutional Inertia and Political Shifts

Finally, political change can derail momentum. Rajasthan's historic welfare Act, e.g., was challenged when the succeeding government failed to enforce its norms—forcing ex-CM Gehlot to meet the gig economy workers personally to continue the Act (Times of India, 2025). Policies and legislations are only as good as the implementation machinery they are reliant on and such machinery requires stability, funds, and long term political will.

Moving Forward: Overcoming These Obstacles

If India's gig worker policy experiments are to succeed, several interventions are critical:

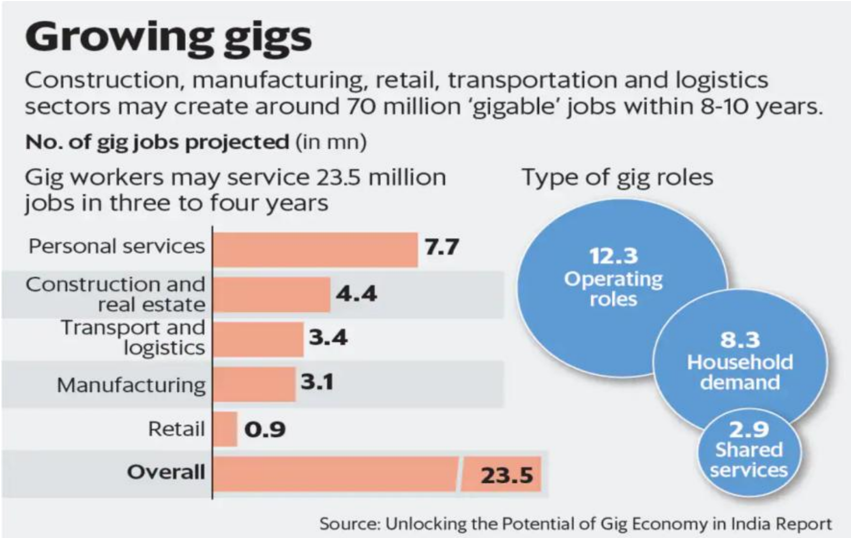
- Clarify legal definitions — Define "gig worker" and "aggregator" clearly in central legislation to eliminate misclassification loopholes.

- Foster state-interstate coordination — Establish benchmark minimum standards (e.g., accident coverage, portability) and let the states innovate.
- Integrate registries using e-Shram — Facilitate border portability and eliminate duplication.
- Strengthen administrative abilities — Invest in welfare boards and grievance mechanisms.
- Fund platform donations — Offer regular and reliable financing and avoid cost pass-through to employees.
- Craft inclusive policies — Consider intersectionality and integrate equity-sensitive programming.
- Ensure political stability — Incorporate the welfare of gig economy professionals in the bureaucratic rather than political frameworks.

10. Recommendations & Way Forward

The examination of the state-level responses shows both experimentation and fragmentation. The states have pioneered innovative legislation while the others depend on incremental change or inaction. To ensure fair and durable safeguards for gig workers, India needs to forge a coordinated future path—covering both the consistency at the national level and the experimentation at the state level.

To appreciate the scale of expansion expected in the coming years, the following figure from a 2025 report illustrates the projected creation of gig jobs across sectors, alongside the distribution of operational, household, and shared service roles.



Source: Unlocking the Potential of Gig Economy in India Report (2025).

1. Enact a Federal Social Protection Floor

There must be minimum guarantees established by the federal government that would be in effect everywhere, including accident insurance and health coverage and portable benefits through the e-Shram portal. This would not put the employees of the slow states at risk and would not prohibit the progressive states from experimenting further. The International Labour Organization suggests such national floors as protection against imbalances in decentralized systems (ILO 2024).

2. Require Platform Contributions

Sustainability relies on looking beyond state budgets. Rajasthan and Karnataka have demonstrated that requiring contributions—be it as percentages or transaction-related levies—can provide predictable revenue streams. A central directive to platforms to co-fund welfare would minimize incentives for arbitraging through regulators and announce a model of shared responsibility. Incentives—like tax credits—should also be provided to platforms for early compliance to get buy-in.

3. Combine Registries and Provide Portability

Fragmented state databases undermine welfare delivery for a highly mobile workforce. States should integrate their registries with e-Shram, using interoperable standards for data entry, verification, and portability. Maharashtra's mapping initiative could serve as a pilot for linking state-level enumeration with central systems, ensuring that a worker moving from Pune to Bengaluru does not lose access to benefits.

4. Develop Administrative and Digital Capacities

Welfare boards will fail without adequate capacity. States should invest in digital grievance platforms accessible in regional languages, AI-assisted fraud detection for contributions, and dedicated administrative staff. Collaboration with existing digital infrastructure initiatives, like Aadhaar-enabled Direct Benefit Transfers, could streamline delivery and reduce leakages.

5. Shield from Algorithmic Manipulation

Opaque algorithmic management continues to be a priority issue. States ought to embrace standards of transparency like those in Karnataka's Act and mandate platforms to be transparent about rules for ratings, incentives, and deactivations. The right to challenge automated judgments ought to be available to the worker and such cases be taken to state-level ombudsmans' systems. Comparative evidence from the EU's Platform Work Directive shows that such provisions are possible (European Commission 2023).

6. Addressing Inequality among the Gig Labor Force

Policies should introduce gender-sensitive and equity-oriented provisions. For women, it may involve safe rest lounges (like those experimented in Chennai), maternity entitlements, and flexible work hours. For the disabled, subsidies on assistive technology and customized skilling initiatives are the order of the day. Strong union state governments such as Kerala and Tamil Nadu may be the leaders in such inclusive provisions and become the trailblazers for other states.

7. Support Worker Voice

Institutionalize worker participation. Rajasthan's decision to place the gig workers on its welfare board provides a strong precedent. The states should follow by validating unions of platform workers and incorporating collective bargaining rights. This would put the protection provided to the gig workers in consonance with Indian democratic labor heritages and make the schemes more responsive to ground realities.

Conclusion

The future belongs to cooperative federalism: a model in which the Union provides minimum protections at the base level, platforms bear equal financial burden, and the states tailor the solutions to local labor markets. The Indian gig economy will provide jobs for almost 24 million employees by 2030. Without resolute reforms, the employees will be at the risk of remaining precarious agents of economic growth. But if the gig economy is well designed—combining legal status, sustainable financing, digital capabilities, and voice for employees—it can become the foundation of inclusive and decent employment for the 21st century.

11. Conclusion

India's labour market sits at a junction. Informal and platform workers constitute the vast majority of the labour force, and protection for them continues to be precarious. As the platform economy holds promise for flexibility and earning potential, it has concurrently amplified precarity through low incomes, deprived coverage, and algorithmic administration. The state-level experiments studied—Rajasthan's trailblazing statute, Karnataka's levy model, Maharashtra's mapping project, and Kerala and Tamil Nadu's welfare board transplants—prove that there can be no single model for the future. Rather, the scenario is that of innovation complemented by fragmentation.

The larger risk is one of unevenness: active state employees become beneficiaries while the remainder remain in the shadows. Such unevenness underscores the necessity for cooperative federalism, in which the Union ensures minimum security and portability and the states tailor the remedy to local conditions (ILO 2024). Equally important is the inclusion of worker voice in the sphere of governance—through welfare boards, unions, or grievance mechanisms—such that policies become informed by real-life experience. International case studies such as the EU Platform Work Directive show the compatibility of flexibility and fairness (European Commission 2023).

If India finds the right balance, the precarious stopgap of gig work can become a foundation for inclusive, decent work in the digital economy.

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